CASELET OF THE WEEK

IPM INTERNSHIP COMMITTEE
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FIZZ: THE FLAT SALES DIAGNOSTIC

UNDERSTAND THE PROBLEM

Fizz is the beverage section of a leading North Indian supermarket chain operating through 50 stores across Delhi NCR, Punjab & Haryana.

Over the last 12 months, beverage revenue (~10%) has consistently declined, even though the competitive landscape remains unchanged and the broader supermarket category is flat-to-growing.

The problem is within the beverages section.

THE CHALLENGE

What is driving the decline and what should Fizz change to reverse it?

IDENTIFY WHERE THE PROBLEM EXISTS

Fizz analyses performance across its beverage categories:

CATEGORY	PERFORMANCE
Sodas	Declining
Waters	Stable
Other Beverages	Stable to Growing

Further analysis of the Soda category shows:

METRIC	LAST YEAR	THIS YEAR
Volume Sold	100,000 L	120,000 L
Average Selling Price	₹90/L	₹70/L
Revenue	₹90 lakh	₹84 lakh

UNDERSTAND WHY IT HAPPENED

Fizz sells three soda brands:

BRAND	OBSERVATION
Brand A	Revenue declining
Brand B	Stable
Value Brand	Rapid growth

- Brand A volume declined from 50,000 L to 30,000 L
- Brand B volume increased slightly
- Value Brand volume increased from 25,000 L to 60,000 L
- Value Brand price declined from ₹60/L to ₹40/L

SOLVE THE PROBLEM

Further investigation reveals:

- The supplier reduced the delivered cost of Value Brand by 33%.
- Fizz follows a fixed-markup pricing policy, automatically passing supplier cost reductions to customers.
- The Category Manager is evaluated only on private-label volume growth.
- No analysis was conducted to understand the impact of the lower price on Brand A.